

BQBYTE TECHNOLOGIES

Supplier Governance & Compliance Policy

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1. Purpose & Scope

This policy governs all procurement relationships within the BQBYTE Technologies global supply chain network. It establishes binding performance standards, risk thresholds, compliance requirements, and operational procedures applicable to all 25 active Tier-1, Tier-2, and Tier-3 designated suppliers across the APAC, EMEA, LATAM, and NA regions.

All suppliers are identified by a unique Supplier ID (format: SUP-XXX) and assigned a Product SKU (format: SKU-[CATEGORY]-[NNNN]). Category codes are: EC (Electronic Components), RM (Raw Materials), MC (Mechanical Components), PM (Packaging Materials), IT (Industrial Textiles), SA (Specialty Alloys).

This document must be read in conjunction with the Supplier Performance Data register (CSV format), which is the authoritative source for all quantitative supplier metrics including On-Time Delivery Rate (OTD_Rate_Pct), Defect Rate, Compliance Score, and Sustainability Score.

2. Supplier Tier Classification Framework

BQBYTE classifies all suppliers into three strategic tiers based on annual spend, criticality, and performance history. Tier assignment determines applicable SLAs, audit frequency, payment terms eligibility, and risk management obligations.

Attribute	Tier-1 (Strategic)	Tier-2 (Preferred)	Tier-3 (Conditional)
Annual Spend Threshold	Above USD 5M	USD 1M – 5M	Below USD 1M
Min. Compliance Score	90 or above	75 – 89	60 – 74
Min. OTD Rate Required	93% or above	84% – 92.9%	75% – 83.9%
Max. Defect Rate Allowed	Below 1.0%	1.0% – 2.5%	2.6% – 4.0%
Max. Payment Terms	Net-90	Net-45	Net-30
Audit Frequency	Annual	Bi-annual	Quarterly
Dedicated Account Manager	Yes	Yes	No
Eligible for Volume Rebate	Yes (see Sec. 4)	No	No
Alternate Supplier Required	Recommended	Mandatory	Mandatory

NOTE: A supplier whose metrics fall below the minimum threshold for their assigned tier for two consecutive audit periods will be automatically downgraded. Downgrade from Tier-1 to Tier-2 triggers a 30-day remediation window; Tier-2 to Tier-3 triggers immediate mandatory corrective action plan (CAP).

3. Service Level Agreements (SLA) by Tier

The following SLAs are contractually binding. Failure to meet SLA thresholds beyond the grace periods specified activates penalty clauses defined in Section 4.

3.1 On-Time Delivery (OTD)

OTD is measured as the percentage of purchase orders delivered within the confirmed lead time window, with a tolerance of +/- 2 business days. Tier-1 suppliers must maintain OTD at or above 93.0%. Tier-2 suppliers must maintain OTD at or above 84.0%. Tier-3 suppliers must maintain OTD at or above 75.0%. OTD is calculated on a rolling 90-day basis.

3.2 Defect Rate

Defect rate is expressed as a percentage of units rejected at incoming quality inspection (IQI). Tier-1 maximum permissible defect rate is 0.99%. Tier-2 maximum is 2.50%. Tier-3 maximum is 4.00%. Any single shipment with a defect rate exceeding 8.0% (regardless of tier) triggers an immediate hold and mandatory root-cause analysis (RCA) submission within 5 business days.

3.3 Lead Time Compliance

Quoted lead times must be honoured within the agreed tolerance. Lead times exceeding 50 calendar days are subject to additional review under the Extended Lead Time Review Protocol (ELTRP), regardless of tier. Currently, suppliers SUP-005 (42 days), SUP-012 (38 days), SUP-015 (45 days), and SUP-023 (36 days) carry lead times approaching or at ELTRP review boundaries.

3.4 Compliance Score Floor

The Compliance Score (0-100) is a composite metric incorporating regulatory adherence, documentation completeness, audit findings, and corrective action closure rates. Any supplier with a Compliance Score below 60 at any audit is placed on Supplier Watch List (SWL) status, regardless of tier designation. SWL status limits new PO issuance to 20% of prior quarter volume.

4. Penalty & Incentive Structure

4.1 OTD Penalty Tiers

Penalties are assessed quarterly based on rolling OTD performance. Penalty credits are applied as invoice deductions on the following quarter's payments.

OTD Performance Band	Applicable Tiers	Penalty Rate (% of quarterly invoice)
Below 70.0%	All Tiers	8.0% — and mandatory CAP within 10 days
70.0% – 74.9%	Tier-1 only	5.0%
75.0% – 79.9%	Tier-1 and Tier-2	3.5%
80.0% – 83.9%	Tier-1 only	2.0%
84.0% – 86.9%	Tier-1 only	1.0%
87.0% – 92.9%	No penalty (Tier-2/3 acceptable)	0%
93.0% and above	All Tiers — target	0% (Volume Rebate eligible for Tier-1)

4.2 Volume Rebate Program (Tier-1 Only)

Tier-1 suppliers with OTD at or above 93.0%, Defect Rate below 0.5%, and Sustainability Score at or above 85 for a full calendar year qualify for an annual volume rebate of 2.5% of total annual invoice value. Rebate eligibility is assessed in January of the following year.

4.3 Defect Penalty Escalation

Defect rates exceeding the tier maximum for two consecutive quarters result in a penalty surcharge of 4.0% of the affected quarter's invoice in addition to any OTD penalties. If the defect rate is above 5.0% for any single shipment, a Quality Containment Fee of USD 15,000 is assessed per occurrence.

5. Risk Assessment & Escalation Protocol

5.1 Risk Level Definitions

Each supplier is assigned a Risk Level (Low, Medium, High) assessed quarterly by the BQBYTE Procurement Risk Committee. Risk level is determined by geopolitical exposure, single-source dependency, financial health, active disruption flags, and historical performance volatility.

Low Risk: No active disruption flags, Compliance Score above 85, no geopolitical exposure, diversified logistics routes.

Medium Risk: One or more of the following — geopolitical tension flag, seasonal disruption risk (e.g. monsoon, typhoon), pending regulatory audit, tariff adjustment pending, or Compliance Score 75-85.

High Risk: Two or more Medium risk factors present, OR any of — active labour dispute, export control restrictions, currency volatility exceeding 15% YTD, overdue audit (more than 12 months since last audit date), or Compliance Score below 75.

5.2 Escalation Triggers

Any supplier flagged High Risk for two consecutive quarters must be escalated to the Chief Procurement Officer (CPO) for strategic review. The CPO review determines one of three outcomes: (a) Supplier Remediation Plan, (b) Parallel Sourcing Activation (see Section 10), or (c) Supplier Exit Programme initiation with 90-day wind-down period.

5.3 Concentration Risk Rule

No single region (APAC, EMEA, LATAM, NA) may account for more than 45% of total annual procurement spend. No single country may represent more than 25% of spend. If concentration limits are breached, the Procurement team must submit a Diversification Plan within 60 days.

6. Sustainability & Compliance Requirements

6.1 Sustainability Score

The Sustainability Score (0-100) assesses carbon footprint reporting, use of renewable energy, waste reduction programmes, and adherence to ILO labour standards. Minimum required scores by tier:

Tier-1: Sustainability Score must be 80 or above. Tier-2: Score must be 60 or above. Tier-3: Score must be 45 or above. Suppliers below their tier minimum are required to submit a Sustainability Improvement Plan (SIP) within 45 days of audit notification.

6.2 Mandatory Certification Requirements

All suppliers must hold ISO 9001 certification, which is non-negotiable regardless of tier or category. Additional certifications are required based on product category:

Electronic Components (EC): ISO 9001 + RoHS compliance mandatory. AEC-Q100 strongly recommended for automotive-grade components.

Raw Materials (RM): ISO 9001 + REACH compliance mandatory for all materials entering EU markets. ISO 14001 required for Tier-1 Raw Material suppliers.

Packaging Materials (PM): ISO 9001 + FSC certification mandatory for paper-based packaging. ISO 14001 required for Tier-1 PM suppliers.

Mechanical Components (MC): ISO 9001 mandatory. IATF 16949 required for any automotive supply chain use.

Specialty Alloys (SA): ISO 9001 mandatory. NADCAP required for aerospace applications. AS9100 required for Tier-1 SA suppliers.

Industrial Textiles (IT): ISO 9001 + OEKO-TEX Standard 100 mandatory.

7. Audit Cadence & Scoring Methodology

7.1 Audit Frequency

Tier-1 suppliers are audited annually. Tier-2 suppliers are audited every six months. Tier-3 suppliers are audited quarterly. Suppliers with an Active Disruption flag receive an additional unannounced spot audit within 30 days of the flag being raised.

Audit overdue threshold: Any supplier whose Last Audit Date is more than 14 months ago (for Tier-1), more than 7 months ago (for Tier-2), or more than 4 months ago (for Tier-3) is classified as Audit Overdue and placed on provisional SWL status.

7.2 Audit Score Calculation

The Compliance Score is calculated as a weighted composite: Quality Systems (30%), Document Compliance (20%), Corrective Action Closure (20%), Regulatory Adherence (15%), and Ethical Standards (15%). Scores below 70 at a scheduled audit trigger a mandatory follow-up audit within 60 days at the supplier's cost.

8. Approved Certification Matrix

Certification	Full Name	Mandatory For	Notes
ISO 9001	Quality Management Systems	ALL suppliers, ALL tiers	Non-negotiable baseline
ISO 14001	Environmental Management	Tier-1 RM, PM, EC; all Tier-1 with Sust. Score above 85	Required for Sustainability Score above 85
RoHS	Restriction of Hazardous Substances	All EC category suppliers	EU directive compliance
REACH	Registration, Evaluation, Auth. Chem. Subst.	All PM category (EU-market)	Mandatory for EU-destined RM
FSC	Forest Stewardship Council	All PM category suppliers	Paper/fibre packaging only
OEKO-TEX	Standard 100 — Textiles	All IT category suppliers	Mandatory regardless of tier
AEC-Q100	Automotive Electronics Qualification	EC suppliers in auto supply chain	Recommended Tier-1, mandatory Tier-2 auto
IATF 16949	Automotive QMS	MC suppliers in automotive use	Required for all automotive MC
AS9100	Aerospace QMS	Tier-1 SA suppliers (aerospace)	Pairs with NADCAP
NADCAP	Aerospace Special Processes	SA suppliers — aerospace apps	Mandatory for aerospace
OSHA	Occupational Safety (US)	NA-region Tier-1 suppliers	US-specific compliance

9. Disruption Response Procedures

When a supplier Active Disruption is flagged (non-None value in the Active_Disruptions field), the following response tiers apply:

Level 1 — Monitor (Low Risk suppliers with disruption flag): Weekly status update required from supplier. BQBYTE Procurement team adjusts safety stock for affected SKU by +15%.

Level 2 — Manage (Medium Risk suppliers with disruption flag): Bi-weekly escalation calls. Safety stock adjusted by +30%. Alternate supplier placed on 48-hour readiness notice.

Level 3 — Activate (High Risk suppliers with any disruption flag, or any supplier with two simultaneous disruption flags): Immediate escalation to CPO. Alternate supplier activated for minimum 40% of volume within 10 business days. Safety stock adjusted by +50%. Full RCA required within 15 business days.

Disruption categories requiring mandatory Level 3 response regardless of risk level: export control restrictions, active labour strikes, regulatory enforcement actions, and port closure events exceeding 72 hours.

10. Alternate Supplier Activation Rules

Every Tier-2 and Tier-3 supplier must have a designated Alternate Supplier (Alt_Supplier_ID). Tier-1 suppliers are strongly recommended to maintain an alternate. Alternate suppliers must:

- (a) Be capable of supplying the same product SKU within 120% of the primary supplier's quoted lead time.
- (b) Hold all mandatory certifications for the relevant product category (Section 6.2 and Section 8).
- (c) Not share the same geopolitical risk region as the primary supplier in a Level 3 activation scenario.
- (d) Not be on SWL status at the time of activation.

Alternate supplier activation does not automatically void the primary supplier's contract. Activation volume allocation is set at a minimum of 40% and a maximum of 100% depending on disruption severity and CPO directive.

Note: Suppliers SUP-009 and SUP-017 (both NA region, Raw Materials) share the same Alt_Supplier_ID as SUP-003 (EMEA, Germany). In the event of simultaneous disruption to both NA suppliers, SUP-003 is the sole qualifying alternate and BQBYTE procurement must pre-position buffer stock accordingly.